

INDIA'S NEW G SPOTS

The India growth story has fuelled a rise in incomes in the hinterland creating new islands of consumption. These district towns, the new growth spots, are now the focus of companies seeking new consumers and market share.

■ By Shankkar Aiyar

For decades, the enduring aphorism that best condensed the economic theory of trickle-down benefits of high economic growth has been "A rising tide lifts all boats". The ultimate mantra of free market evangelists popularised by John F. Kennedy finds vindication across India too. As India migrated from a \$500-per-capita income at the beginning of the decade to \$1000 now, higher earnings fuelled consumption and created markets in new geographic landscapes, extending beyond the big metros and even Tier II sub-metros. Kolhapur, better known for its hand-made chappals; Kannur, famous for the export of communism; cotton town

Erode and Yamunanagar, best known for the manufacture of utensils, are now the destinations for companies seeking consumers and market share. If Future Group Chairman Kishore Biyani has chosen small town Jharkhand boy Mahendra Singh Dhoni as the brand ambassador for Big Bazaar, it is not just for cricket but market economics too.

True, the stereotypical images of the unpaved economy growing haphazardly persist, but the picture has

changed. In fact, the optimism of an 8-plus per cent GDP growth this year, despite the high inflation and the spectre of slowdown, is driven by the new width acquired by the economy. Thanks to the resurgence of manufacturing which led to the revival of small and medium enterprises, these small towns are now emerging as the fountainheads of entrepreneurship. A study derived from the RKSWMY/BBDO Guide reveals the emergence of new markets that are

Sonipat, Shimla and Puducherry are boom markets for high-end consumer durables.

KOLHAPUR

MAHARASHTRA

Growth engine:
Agriculture, IT & textile parks

Town population:
4,93,167

Sambhaji Rangarao Patil, 47, is a farmer who uses his two tractors to grow over 50 tonne of sugarcane and generate an annual income of Rs 15 lakh.

"Kolhapur was always a rich agri-district but it has become modern in the last few years with IT parks, malls and star hotels changing the landscape."

